

a prevailing party under Code Civ. Proc. §998 if it appears that the offer, when made, had “no reasonable prospect” of being accepted by a reasonable offeree similarly situated. (*Bates v. Presbyterian Intercommunity Hospital* (2012) 204 Cal. App. 4th 210, 220; *Burch v. CHOC Thrift Stores, Inc.* (2003) 109 Cal. App. 4th 537, 548.) Good faith in turn requires that the settlement offer be realistically reasonable under the circumstances of the particular case and carry with it some reasonable prospect of acceptance. A party having no reasonable belief that his offer might be accepted will not be allowed to benefit from a no-risk offer made for the sole purpose of later recovering large expert witness fees. (*Adams v. Ford Motor Co.* (2011) 199 Cal. App. 4th 1475, 1483-85.) The burden rests with the offeree to show that the offer was made in bad faith and for an improper purpose. (*Jones v. Dumrichob* (1998) 63 Cal. App. 4th 1258, 1262.)

Courts have determined that a defendant's Section 998 offer was merely a “token” or “bad faith” offer; i.e., one for which there was no reasonable prospect of acceptance – so cost shifting under Section 998 was not triggered. (See *Wear v. Calderon* (1981) 121 Cal. App. 3d 818, 821; *Pineda v. Los Angeles Turf Club, Inc.* (1980) 112 Cal. App. 3d 53, 62–63.)

Generally, “reasonableness . . . is measured, first, by determining whether the offer represents a reasonable prediction of the amount of money, if any, (the offeror) would have to pay (the offeree) following a trial, discounted by an appropriate factor for receipt of money by (the offeree) before trial . . .” (*Elrod v. Oregon Cummins Diesel, Inc.* (1987) 195 Cal. App. 3d 692, 699.) The good faith of a defendant’s 998 offer cannot be measured by the plaintiff’s subjective belief in the value of her case. (*Essex Ins. Co. v. Heck* (2010) 186 Cal. App. 4th 1513, 1530.) The following factors are considered: the ultimate jury verdict, defendant’s apparent liability, plaintiff’s damages, insurance coverage, jury reports, and information available to the plaintiff. (*Elrod*, supra, at 698-700.)

But the “offer[s] should be evaluated not only in comparison to the amount of damages plaintiffs sought, but in light of their likelihood to prevail.” (*Melendrez v. Ameron Internat. Corp.* (2015) 240 Cal.App.4th 632, 649.) In analyzing the good faith of an offer, “courts should evaluate the totality of the facts,” but “three factors are especially pertinent: (1) how far into the litigation the 998 offer was made; (2) the information available to the offeree prior to the 998 offer’s expiration; and (3) whether the offeree let the offeror know it lacked sufficient information to evaluate the offer, and how the offeror responded.” (*Licudine v. Cedars-Sinai Medical Center* (2019) 30 Cal.App.5th 918, 921 (“*Licudine*”).)

First, the fact that defendants obtained a more favorable judgment than the 998 offers is prima facie evidence of the reasonableness of the offer.

(*Smalley v. Subaru of America, Inc.* (2022) 87 Cal.App.5th 450, 458 (*Smalley*)). In fact, in this case, Plaintiff received nothing from Defendant. Thus, Defendant's Section 998 offer for a waiver of costs and a waiver of a malicious prosecution cause of action is prima facie evidence of the reasonableness of the offer.

Further, cost-waiver-only Section 998 offers in the medical malpractice context carry legal cognizable value and can trigger the statute's cost-shifting consequences. As the Court of Appeal noted in *Essex Insurance Company v. Heck* (2010) 186 Cal.App.4th 1513, medical malpractice cases often involve significant costs for medical experts, making a waiver of such costs a valuable consideration to the offeree. (*Essex Ins. Co. v. Heck*, supra, 186 Cal.App.4th at 1529.)

On 3/21/25, Defendant served on Plaintiff a Section 998 offer that consisted of a waiver of costs and a waiver of a cause of action for malicious prosecution in exchange for a dismissal. Plaintiff did not accept Defendant's offer. Plaintiff failed to obtain a more favorable result at trial. As a result, Defendant seeks costs associated with defending this matter, including expert fees incurred after the Section 998 offer was made. Plaintiff moves to strike Defendant's expert fees from the Memo. of Costs.

Here, Plaintiff has failed to meet this burden. Plaintiff contends the Section 998 offer was unreasonable because Plaintiff's claim had substantial merit and Defendant had no expectation it would be accepted and was a ploy to enhance costs. Plaintiff asserts that the jury found Defendant negligent and Defendant's own expert testified to a worsening of Plaintiff's condition. In addition, Plaintiff's experts testified that Defendant's negligence caused harm.

But, this discussion fails to demonstrate or explain how Defendant's Section 998 offers may have been made in bad faith or unreasonable in light of the information available to plaintiffs at the time. (See *Licudine* at p. 921.) Plaintiff fails to present any meaningful discussion on the ultimate jury verdict (which was in Defendant's favor), Defendant's apparent liability (including causation, or in this case, the lack thereof), Plaintiff's damages, insurance coverage, jury reports, how far into the litigation the offer was made, information available to Plaintiff at the time the offer was made, or whether Plaintiff let Defendant know she lacked sufficient information to evaluate the offer and how Defendant responded. (See, *Licudine* at 912; *Elrod v. Oregon Cummins Diesel, Inc.*, supra, 195 Cal.App.3d at 698-700.)

Additionally, Defendant provides sufficient facts to show the Section 998 offer for a waiver of costs and waiver of a malicious prosecution claim was in good faith. The Section 998 offer was served on 3/21/25, twenty months after Plaintiff's complaint was filed. Prior to the Section 998 offer, on 2/20/25, Defendant filed and served a motion for summary